CITY OF HAYWARD MEASURE CC

CC HAYWARD BUSINESS LICENSE TAX MODERNIZATION: Shall the measure updating the Hayward Business License Tax for the first time since 1978, to support general city services, including neighborhood police protection, firefighting, 911 response, libraries, and pothole repair, generating an additional $12 million annually until repealed, with a minimum tax of $60 and rates from $.30 to $3.75 per $1,000 of gross receipts, with higher rates for higher-grossing businesses, as stated in the ordinance, be adopted?	YES
	NO

CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE CC

Like other California cities, the City of Hayward('City') requires that any person or entity conducting business in the City pay a business license tax('BLT'). It is not a tax on residents, consumers, or users who are not business owners or operators. The City has not updated its BLT since 1978; consequently, the Hayward City Council has placed a Measure on the November 3, 2026 ballot asking voters to update relevant provisions of the Hayward Municipal Code.

This is a general tax which means the City may use the revenues for any governmental purpose. If adopted by voters, an estimated additional $12 million will be generated to support City services, including neighborhood police protection, firefighting, 911 response, libraries, and street improvements. Funds can only be used for Hayward programs and services and cannot be taken away by the State or Federal governments.

A YES vote would update and amend the City's BLT fee schedule. The ordinance would go into effect in January, 2027. A simple majority of voters (50% + one vote) is required to adopt the Measure.

A NO vote means the 1978 fee schedule would remain in place.

The proposed BLT would transition the City towards a more progressive gross-receipts-based structure with higher rates for higher-grossing larger businesses, and lower rates for lower-grossing smaller businesses. The current structure relies primarily on flat fees and employee counts.

The proposed structure establishes gross receipts brackets for most classifications using the following thresholds:

- Up to $5 million
- $5 million to $10 million
- $10 million to $25 million
- $25 million to $50 million
- Over $50 million

Other key elements include:

- A minimum tax payment of $60 for all businesses, assuring a baseline contribution across all business types.
- Tiered gross receipts rates ranging from $.30 to $3.75 per $1,000 of annual gross receipts, with higher rates applied to businesses with higher gross receipts.
- An alternative payroll tax payment of $.70 per $1,000 of payroll, for businesses that do not report gross receipts in Hayward but have employees working within the City. This ensures that businesses benefitting from operating in Hayward contribute to City services, even if their revenue is generated elsewhere.
- Authority for the Tax Administrator to determine apportionment of gross receipts attributable to business activity occurring within the City

The proposed BLT includes updated definitions and classifications related to retail sales, data centers, wholesale sales, transportation and warehousing, manufacturing, business and personal services, professional /semi-professional services, construction contractors, hotels and motels, and residential and non-residential rentals, and other business types to reflect modern business activity. The proposed BLT closely aligns with surrounding jurisdictions that have updated their business license tax programs in recent years.

The proposed BLT would not result in increased taxes for Hayward residents and would only apply to businesses within the City.

The Hayward City Council directed this Measure to be placed on the ballot at the General Municipal Election to be held on November 3, 2026.

Respectfully submitted,

s/ MICHAEL LAWSON
City Attorney

August 3, 2026

The above statement is an impartial analysis of Measure CC. If you desire a copy of the measure, please call the office of the City Clerk at (510) 583-4400 and a copy will be mailed to you at no cost. You may also access more information about the measure on the City of Hayward website at https://www.hayward-ca.gov/your-government/elections/ballot-measures

ARGUMENT IN FAVOR OF MEASURE CC

Vote YES on Measure CC to modernize the Hayward Business License Tax and protect essential services Hayward residents and families depend on every day.

The Business License Tax, also known as the BLT, is what Hayward businesses pay each year to help fund the city services that make Hayward a great place to live, visit and do business in—police protection, firefighting, 911 emergency response, street and pothole repair, graffiti removal, library operations, affordable housing protection and preservation, and community programs and events. But the tax itself hasn't changed in 48 years—since 1978, when disco was on the radio. It no longer reflects our modern economy and no longer raises enough revenue to keep pace with the true cost of providing these city services.

Measure CC fixes this by modernizing the BLT to fairly capture today's business sectors, generating an additional $12 million annually dedicated to city services. The structure is built on fairness: higher rates for higher-grossing, typically larger businesses, and lower rates for lower-grossing, typically smaller businesses—so mom-and-pop shops aren't asked to shoulder the same burden as large corporations.

Every dollar stays local, as the revenue raised can't be taken by the state. And spending of the funds is subject to annual independent audits and is authorized through a public process as part of City budget-approval proceedings—ensuring transparency and accountability every step of the way.

That's why Hayward elected officials, small business owners, community and labor leaders, public safety professionals and affordable housing advocates all agree: Measure CC is a fiscally responsible, fair way to keep Hayward safe, clean and thriving.

Join us. Vote YES on Measure CC.

Sincerely,

s/RAY BONILLA, JR.
Hayward City Councilmember

s/PEARL ADRE
Hayward Resident and Owner/Operator of Pearl's Café

s/TONEY CHAPLIN
Hayward Resident and Former Hayward Police Chief

s/ANDREW GHALI
President, Hayward Firefighters Local 1909

s/JOSE CARLOS MONTESINOS
Hayward Resident

DATE: 8/4/2026

NO ARGUMENT AGAINST MEASURE CC WAS SUBMITTED